

modern era, this tribal behavior can lead to belief in false narratives, the rise of meme stocks, and, eventually, bubbles and market crashes.

Why is this so?

According to Bernstein, humans are “cognitive misers,” relying on simple narratives instead of using complex analytical thinking. The more compelling a narrative is, the more corrosive it becomes to our analytical abilities. The two most compelling tales are the Apocalyptic “End of Days” stories and the “effortless riches” meme. These are rife in both social media and religious narratives because they are such effective emotional triggers. They create frequent and substantial crowd delusions.

From an evolutionary perspective, there is little cost to our *patternization*—seeing patterns where none exist (amateur chartists are notorious for this). Jumping out of the way at the sight of a vine that looks like a venomous snake is a false positive that is mildly embarrassing at worst. But false negatives—ignoring the vine that is actually a deadly viper—carries the ultimate evolutionary cost. Perhaps this explains why we pay so much attention to bad news while ignoring positive developments.

Existential threats matter deeply to our limbic systems. Investors need to understand why these same evolutionary traits—the ones that helped us survive and adapt on the savanna—can lead to expensive errors today.



This evolutionary baggage we all carry—why does it still have so much sway in the modern world? Haven’t we evolved past this?

Put simply, we just ain’t built for it.

The best explanation why comes from Michael J. Mauboussin, adjunct professor of finance at Columbia Business School, and head of consilient research at Morgan Stanley’s Counterpoint Global. He explains why we aren’t hardwired to undertake risk and reward analysis in modern capital markets: “The mind is better suited for ‘hunting and gathering’ than it is for understanding Bayesian analysis.”^{[307](#)}